

The Board of Directors of NIC Bank Limited is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 31st March 2015

STATEMENT OF FINANCIAL POSITION	GROUP			BANK		
	31st Mar, 2015 Un-audited Shs '000	31st Dec, 2014 Audited Shs '000	31st Mar, 2014 Un-audited Shs '000	31st Mar, 2015 Un-audited Shs '000	31st Dec, 2014 Audited Shs '000	31st Mar, 2014 Un-audited Shs '000
ASSETS						
Cash (both Local & Foreign)	1,264,370	1,472,964	1,288,303	952,848	1,026,642	852,338
Balances due from Central Banks	6,630,190	9,066,532	7,425,165	5,761,352	8,079,859	6,342,261
Kenyan Government securities held for dealing purposes	-	-	-	-	-	-
Financial assets at fair value through profit & loss	119,724	126,762	246,568	-	-	-
Investment Securities:						
a) Held to Maturity:						
a. Kenya Government securities	3,986,462	3,197,123	7,649,289	3,986,462	3,197,123	7,649,289
b. Other securities	2,115,910	2,319,274	1,480,225	-	-	-
b) Available for sale:						
a. Kenya Government securities	13,504,642	13,256,989	11,434,613	13,504,642	13,256,989	11,434,613
b. Other securities	871,776	323,537	882,556	-	-	-
Deposits and balances due from local banking institutions	1,866,361	569,774	1,140,466	1,398,015	145,853	639,231
Deposits and balances due from banking institutions abroad	2,702,521	8,184,135	2,692,801	2,036,911	7,698,050	2,262,720
Tax recoverable	83,208	185,185	80,025	-	56,570	-
Loans and advances to customers (net)	105,555,857	102,042,135	85,458,931	97,748,567	94,424,035	78,558,601
Balances due from banking institutions in the group	-	-	-	-	1,839,592	1,909,522
Investments in associates	-	-	-	-	-	-
Investments in subsidiary companies	-	-	-	3,931,501	3,931,501	3,365,493
Investments in joint ventures	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Property and equipment	1,029,951	1,079,110	1,127,697	818,035	843,775	831,308
Prepaid lease rentals	523,094	523,125	7,219	7,094	7,125	7,219
Intangible assets	999,748	1,045,559	1,047,921	516,432	548,776	586,707
Deferred tax asset	278,716	313,702	328,840	109,113	109,113	302,270
Retirement benefit asset	-	-	-	-	-	-
Other assets	2,201,581	2,074,598	2,544,612	1,859,996	1,682,025	2,150,383
TOTAL ASSETS	143,734,111	145,780,505	124,835,231	134,470,560	137,087,464	116,891,955
LIABILITIES						
Balances due to Central Banks	-	-	-	-	-	-
Customer deposits	96,128,684	100,434,954	92,373,728	89,515,245	92,791,078	85,589,814
Deposits and balances due to local banking institutions	2,242,780	2,405,488	4,042,566	116,468	1,619,236	3,351,558
Deposits and balances due to foreign banking institutions	4,437,195	3,006,176	2,721,209	4,437,195	3,006,170	2,721,209
Other money market deposits	-	-	-	-	-	-
Borrowed funds	14,182,122	14,358,480	4,109,685	13,906,335	13,844,209	3,646,611
Balances due to banking institutions in the group	-	-	-	24,890	168,093	9,991
Tax payable	362,512	12,613	659,884	345,631	-	648,785
Dividends payable	-	-	-	-	-	-
Deferred tax liability	-	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-
Other liabilities	2,324,859	2,212,081	2,073,027	2,063,306	2,400,661	2,036,698
TOTAL LIABILITIES	119,678,152	122,429,792	105,980,099	110,409,070	113,829,447	98,004,666
EQUITY						
Paid up /Assigned capital	3,199,728	3,199,728	2,714,921	3,199,728	3,199,728	2,714,921
Share premium	2,731,255	2,731,255	1,208,068	2,731,255	2,731,255	1,208,068
Revaluation reserves	184,764	184,764	189,545	184,764	184,764	189,545
Retained earnings	17,000,814	16,012,992	13,994,746	16,714,048	15,785,977	13,478,136
Statutory loan reserves	1,034,725	1,041,058	939,021	929,353	919,004	752,081
Other reserves	(1,225,208)	(936,604)	(990,320)	(337,604)	(202,657)	137,298
Proposed dividends	639,946	639,946	407,240	639,946	639,946	407,240
Capital grants	-	-	-	-	-	-
	23,566,023	22,873,139	18,463,221	24,061,490	23,258,017	18,887,289
Non-controlling interests	489,936	477,574	391,911	-	-	-
TOTAL EQUITY	24,055,959	23,350,713	18,855,132	24,061,490	23,258,017	18,887,289
TOTAL LIABILITIES AND EQUITY	143,734,111	145,780,505	124,835,231	134,470,560	137,087,464	116,891,955

STATEMENT OF COMPREHENSIVE INCOME						
INTEREST INCOME						
Loans and advances	3,122,299	11,369,024	2,576,728	2,882,302	10,379,895	2,346,809
Government securities	579,329	2,079,755	497,928	467,618	1,784,591	428,576
Deposits and placements with banking institutions	68,366	262,289	122,376	64,629	211,839	80,191
Other Interest Income	-	-	-	-	-	-
TOTAL INTEREST INCOME	3,769,994	13,711,068	3,197,032	3,414,549	12,376,325	2,855,576
INTEREST EXPENSE						
Customer deposits	1,253,756	5,062,509	1,345,717	1,150,769	4,567,464	1,218,444
Deposits and placement from banking institutions	38,120	209,689	96,503	18,503	163,289	48,108
Other interest expenses	284,908	440,750	20,141	266,208	366,093	17,476
TOTAL INTEREST EXPENSE	1,576,784	5,712,948	1,462,361	1,435,480	5,096,846	1,284,028
NET INTEREST INCOME	2,193,210	7,998,120	1,734,671	1,979,069	7,279,479	1,571,548
OTHER OPERATING INCOME						
Fees and commissions on loans and advances	318,241	1,073,526	232,984	299,407	983,368	203,131
Other fees and commissions	140,082	458,767	108,925	121,613	372,781	90,451
Foreign exchange trading income	304,286	1,142,181	340,401	240,542	1,039,583	314,860
Dividend Income	-	-	-	-	-	-
Other income	223,905	898,705	161,095	152,013	591,330	112,311
TOTAL NON-INTEREST INCOME	986,514	3,573,179	843,405	813,575	2,987,062	720,753
TOTAL OPERATING INCOME	3,179,724	11,571,299	2,578,076	2,792,644	10,266,541	2,292,301
OPERATING EXPENSES						
Loan loss provision	421,167	329,133	118,961	379,168	295,494	146,072
Staff costs	680,614	2,340,544	570,046	562,494	1,903,480	465,554
Directors' emoluments	42,289	220,398	34,771	27,094	148,459	22,958
Rental charges	77,538	299,709	72,246	48,567	173,819	42,840
Depreciation charge on property and equipment	77,986	297,278	63,190	52,276	215,413	52,074
Amortisation charges	47,201	207,357	50,007	45,060	176,441	43,592
Other operating expenses	405,397	1,646,230	314,156	336,309	1,272,154	257,281
TOTAL OPERATING EXPENSES	1,752,192	5,340,649	1,223,377	1,450,968	4,185,260	1,030,371
Profit before tax and exceptional items	1,427,532	6,230,650	1,354,699	1,341,676	6,081,281	1,261,930
Exceptional items	-	-	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	1,427,532	6,230,650	1,354,699	1,341,676	6,081,281	1,261,930
Current tax	(433,681)	(2,024,456)	(380,716)	(402,503)	(1,973,563)	(352,694)
Deferred tax	-	(89,520)	-	-	(88,551)	-
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	993,851	4,116,674	973,983	939,173	4,019,167	909,236
Other Comprehensive Income:						
a. Exchange differences on translation of foreign operations	(135,741)	42,269	113,562	-	-	-
b. Fair value changes in available-for-sale financial assets	(152,863)	(79,089)	347,121	(134,947)	7,166	347,121
c. Revaluation surplus on property, plant and equipment	-	-	-	-	-	-
d. Share of comprehensive income of associates	-	-	-	-	-	-
e. Income tax relating to components of other comprehensive income	-	-	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	(288,604)	(36,820)	460,683	(134,947)	7,166	347,121
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	705,247	4,079,854	1,434,666	804,226	4,026,333	1,256,357
EARNINGS PER SHARE- BASIC & DILUTED - Shs	1.55	7.07	1.63	1.47	6.90	1.52
INTERIM DIVIDEND PER SHARE - PAID - Shs	-	-	-	-	-	-
FINAL DIVIDEND PER SHARE - DECLARED - Shs	-	1.00	-	-	1.00	-

OTHER DISCLOSURES	GROUP			BANK		
	31st Mar, 2015 Un-audited Shs '000	31st Dec, 2014 Audited Shs '000	31st Mar, 2014 Un-audited Shs '000	31st Mar, 2015 Un-audited Shs '000	31st Dec, 2014 Audited Shs '000	31st Mar, 2014 Un-audited Shs '000
1.NON-PERFORMING LOANS AND ADVANCES						
(a) Gross Non-performing loans and advances	9,155,452	6,899,672	6,065,222	8,448,258	5,968,828	5,444,319
(b) Less interest in suspense	3,075,239	2,867,664	2,221,853	3,000,691	2,724,737	2,134,240
(c)TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	6,080,213	4,032,008	3,843,369	5,447,567	3,244,091	3,310,079
(d) Less loan loss provision	2,874,222	2,680,360	2,564,779	2,648,782	2,301,711	2,196,983
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	3,205,991	1,351,648	1,278,590	2,798,785	942,380	1,113,096
(f) Discounted value of securities	3,205,991	1,351,648	1,278,590	2,798,785	942,380	1,113,096
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-
2.INSIDER LOANS AND ADVANCES						
(a) Directors, shareholders and Associates	1,810,453	1,707,952	822,917	1,783,098	1,664,953	791,888
(b) Employees	1,098,487	1,037,274	866,351	1,084,228	999,931	858,577
(c)TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	2,908,940	2,745,226	1,689,268	2,867,326	2,664,884	1,650,465
3.OFF-BALANCE SHEET ITEMS						
(a) Letters of credit, guarantees, acceptances	13,910,741	16,156,604	19,905,113	13,622,398	16,379,472	19,465,125
(b) Forwards, swaps and options	40,387,880	32,567,890	28,681,353	40,221,726	30,381,438	28,016,063
(c) Other contingent liabilities	1,061,590	133,924	216,816	-	-	-
(d)TOTAL CONTINGENT LIABILITIES	55,360,211	48,858,418	48,803,282	53,844,124	46,760,910	47,481,188
4.CAPITAL STRENGTH						
(a) Core capital	-	-	-	19,236,333	18,826,499	14,132,515
(b) Minimum statutory capital	-	-	-	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	-	-	-	18,236,333	17,826,499	13,132,515
(d) Supplementary capital	-	-	-	8,384,724	8,513,693	799,467
(e) TOTAL CAPITAL (a+d)	-	-	-	27,621,057	27,340,192	14,931,982
(f)TOTAL RISK WEIGHTED ASSETS				136,012,717	131,044,542	120,013,924
(g) Core capital / Total deposits liabilities	-	-	-	21.61%	20.47%	16.56%
(h) Minimum statutory ratio	-	-	-	8.00%	8.00%	8.00%
(i) Excess (g-h)	-	-	-	13.61%	12.47%	8.56%
(j) Core capital / Total risk weighted assets	-	-	-	14.14%	14.37%	11.78%
(k) Minimum statutory ratio	-	-	-	10.50%	10.50%	8.00%
(i) Excess (j-k)	-	-	-	3.64%	3.87%	3.78%
(m) Total capital / Total risk weighted assets	-	-	-	20.31%	20.86%	12.44%
(n) Minimum statutory ratio	-	-	-	14.50%	14.50%	12.00%
(o) Excess (m-n)	-	-	-	5.81%	6.36%	0.44%
5. LIQUIDITY						
(a) Liquidity ratio	-	-	-	27.87%	33.08%	29.17%
(b) Minimum statutory ratio	-	-	-	20.00%	20.00%	20.00%
(c) Excess (a-b)	-	-	-	7.87%	13.08%	9.17%

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nic-bank.com .They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

BY ORDER OF THE BOARD
LIVINGSTONE MURAGE
GROUP COMPANY SECRETARY

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty fifth Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC), Nairobi on Wednesday 20th May 2015, at 11.00 am for the following purposes:-

- To read the Notice convening the Meeting.
- To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31st December 2014 and the Directors' and Auditors' Reports thereon.
- To approve the payment of a first and final dividend for the year of Shs 1.00 per share (2013: interim dividend